

NextEra Energy, Inc.

NEE NYSE

Buy	\$83.66 ▼ 3.85%	12M Price Target \$95.00	52-Week Range \$67.20 – \$98.75	Market Cap \$174.48B
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NEE: Reiterate Buy; Sell-Off Offers Entry Despite Utility Rotation Concerns

WHAT'S CHANGED

- NEE -3.85% to \$83.66 on elevated volume (13.2M vs ~11M avg), extending two-day decline from \$87.65 amid utility sector rotation concerns flagged in 24/7 Wall St. "battleground" piece highlighting utilities as a weak 2026 hiding spot.
- Barclays raised price target by \$1 (incremental positive) while options flow turned decisively bullish: P/C 0.51 with unusual call buying at \$84, \$85, and \$101 strikes (June expiry), suggesting smart money fading the dip.

IMPLICATIONS

Today's sell-off reflects sector rotation out of bond-proxy utilities as Technology (+8.52% 5D) absorbs capital, yet NEE is uniquely positioned to bridge both narratives via its Energy Resources segment supplying renewables PPAs to hyperscaler data centers. The PJM March 2027 data center framework decision is the dominant overhang/catalyst — clarity on co-location and load-share rules directly impacts NEE's development pipeline economics. Near-term weakness should be viewed as accumulation opportunity given regulated FPL cash flow stability and the structural ~80GW+ renewables backlog, with bullish options positioning corroborating institutional support at \$84-85.

VALUATION

At \$83.66, NEE trades at ~22.9x FY26E EPS and ~13.5x EV/EBITDA — a modest premium to regulated utility peers (DUK/SO at ~19-20x) justified by the renewables growth optionality and 6-8% EPS CAGR guidance. Our \$95 PT implies ~14% upside via 24x FY27E EPS of \$3.95, with multiple expansion contingent on data center PPA announcements. Downside to \$75 (bear) reflects multiple compression to 19x if PJM ruling restricts behind-the-meter configurations.

KEY RISKS

- PJM March 2027 data center co-location framework ruling could materially impair near-term load growth assumptions for Energy Resources segment.
- Rising long-end rates pressure utility bond-proxy valuations; XLU rotation risk accelerating with Tech +8.52% 5D.
- IRA tax credit transferability/phase-out risk under continued policy uncertainty could compress renewables project IRRs.

RECENT NEWS

From Bond Proxy to Battleground: Why Utilities Are the Worst Hiding Spot in 2026 24/7 Wall St. · 2026-06-01 14:05

NextEra Energy (NEE) Positions for the Next Decade of Utility Growth Insider Monkey · 2026-06-01 02:58

Langston's | Equity Research Coverage

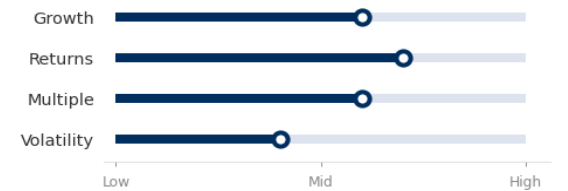
AI-Generated Pre-Market Brief | 2026-06-01 22:33 UTC

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Key Data

Price (USD)	\$83.66
12M Price Target	\$95.00
Upside / (Downside)	+13.6%
Market Cap	\$174.48B
FY2026E Revenue	\$28,500M
FY2027E Revenue	\$30,800M
FY2026E EPS	\$3.65
FY2027E EPS	\$3.95
Fwd P/E	22.9x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$90.00	\$85.00	\$78.00
6 Months	\$98.00	\$90.00	\$75.00
1 Year	\$108.00	\$95.00	\$72.00
2 Years	\$125.00	\$105.00	\$70.00
5 Years	\$165.00	\$130.00	\$75.00
10 Years	\$240.00	\$175.00	\$80.00

SECTOR INTELLIGENCE

HOT SECTORS: Technology (+8.52% 5D), Energy (+1.79% 1D)

COLD SECTORS: Financials (-0.98% 5D), Industrials (flat)

ROTATION WATCH: Capital flowing from defensive utilities/financials into AI-levered Technology; however, "power-for-AI" sub-theme creates a bridge play where NEE, VST, and CEG benefit from both narratives.

BYPRODUCT PLAY: Data center electrification creates secondary demand for transmission (PWR, MYRG), grid-scale batteries (TSLA Megapack), and natural gas peakers — NEE participates across all three via its Energy Resources arm.

OUTPERFORMERS & PEER CONTEXT

- VST (Vistra): Independent power producer with nuclear+gas fleet directly benefiting from data center PPAs; outpacing XLU materially YTD.
- CEG (Constellation Energy): Nuclear-heavy generator commanding premium multiple on hyperscaler contracts (Microsoft Three Mile Island deal template).

NEE CONTEXT: NEE is lagging pure-play power generators like VST/CEG because the FPL regulated utility half dilutes the AI-power narrative, but offers superior risk-adjusted exposure with downside protection. Relative underperformance today (-3.85% vs Energy +1.79%) reflects classification as utility rather than power-for-AI play — a misperception we view as opportunity.

INVESTMENT STRATEGY

7/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: \$82-84 on current pullback; add below \$80

Time Horizon: 12-24 months

Thesis Invalidation: PJM data center framework restricts behind-the-meter; FPL rate case denial; rate-tax credit phase-out acceleration

Hedging: Pair long NEE / short XLU or long puts on regulated peers (DUK, SO)